

Course: F514 Finance and Society

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Topic: Case Study on Starbucks and Unionization

Overview: Financialization of the labor relations and why Starbucks must reframe strategic risk management

The recent wave of unionization at Starbucks is a representation of something much larger than a workplace dispute over wages and scheduling. It is a clear signal on how the modern service-sector empowers the workers by enabling a shift in labor functions. For decades, service sector laborers were treated more or less as a flexible operating expense, adjusting to protect financial performances like gross margins or short-term fluctuations in product/service demand. With unionization, the model no longer holds. Analyzing the impact of this from a business operations point of view, Starbucks' labor force has evolved into a substantial source of financial risk, brand volatility, and governance scrutiny. *The Economist* (2022) states that American unions are "gentrifying," gaining popularity among the educated, urban service workers who understand voices raised through media, legal rights, and investor pressure. Starbucks is no longer managing just a portion of its SG&A, but it is managing a reputational asset that is strongly correlated with shareholder value maximization.

The unionization movement should not be framed as a conflict of ideology, political philosophy, or internal belief system between managers and workers; it should be evaluated as a risk transformation problem. Labor is now more of an intangible asset whose mismanagement can create huge negative costs in customer loyalty, capital market perception, operational dysfunction, and litigation. Therefore, a more strategic response from Starbucks is the way forward. This could include moving towards transparent communications, structured engagement, and redefining core components of a business operation.

Labor as an Intangible Asset

Hoffman (2023) presents Starbucks as a mission-driven company, emphasizing partner dignity, its cultural narrative, and benefits that, combined, give it a strong strategic differentiator. However, as union efforts spread massively in the last few years, the gap between brand identity and real employee experience has become much more visible and a source of financial risk rather than strength.

Labors have always been viewed as a controllable expense, most prominently seen in financial models as variable costs within wages that management could tweak as needed to protect business performance. This approach worked for the longest time when employees did not have any coordination power or when customer behavior was unrelated or insensitive to labor practices. With Starbucks deeply expanding its footprint in urban and suburban communities, the customer demographic is now overweighted by advocates of equal rights, supporters of organized labor, and

voices against inequality. Additionally, increased customer interaction on social media platforms and media coverage amplifying narratives creates a way for workers to gain a bigger support audience during strikes. As Sainato (2022) reports, workers have publicly stated that “They don’t treat us like human beings.” Baristas reported concerns about understaffing, scheduling unpredictability, and increasing performance pressures as mobile orders expanded (Hoffman, 2023). Statements as such are no longer just a part of internal grievances; they hold the power to influence brand perception and create a mass movement within the communities.

Brand equity, which represents a large portion of Starbucks’ enterprise value, is also at great risk when such cases arise. Customer distrust can affect sales, product pricing, and long-term growth assumptions. Worker dissatisfaction results in a high employee turnover ratio, and workers extending beyond hourly wages can change the cash flow projections and discount rates that investors will apply to calculate future earnings or even to price the stock daily. Taking all of these into consideration, labor governance is crucial from a valuation standpoint and a core determinant of firm risk.

Conflict Escalation and Its Financial Consequences

Recent developments from the case and other reputable sources show how operational disruption translates into financial uncertainty. Meyer (2024b) reports that Starbucks baristas have gone on strike in major US cities as contract talks falter. While managing an individual store closure may seem plausible, the broader signal that it sends to the investors and the market is instability and governance weakness.

There are three main layers of financial impact when a worker strike takes place. First, the fixed or direct operational costs, which include revenue loss, inefficiencies arising due to temporary staff adjustments, etc. Second, the indirect cost that is tied to brand reputation and customer sentiment affects ratios like Customer Lifetime Value (CLV). Lastly, the investor relations that evaluate management’s ability to control risk and directly affect the capital market drivers, such as Earnings per Share (EPS).

Starbucks's response to union campaigns is to legally establish communication, showing its direct engagement rather than third-party representation (Hoffman, 2023). While justifiable legally, it can be equally viewed as a resistance rather than a collaboration. Bushey and Rogers (2023) describe “the unexpected revival of America’s trade unions,” emphasizing that labor activism is not isolated but structured. This is an issue that extends beyond Starbucks. For all companies in business, irrespective of long or short-term, the question is not whether unionization will disappear, but it is how the companies will position themselves within this broader movement. If not taken seriously, the businesses risk being the headline of case studies on managerial failure and environmental risk.

Governance and Investor Pressure

Reiterating the fact that labor disputes are increasingly categorized as governance issues rather than specific HR matters, Aliaj and Temple-West (2024) describe how unions are fighting a much wider battle at Starbucks, pushing labor considerations into shareholder meetings and proxy discussions. While this does suggest that we are headed towards a meaningful shift in equality and fair treatment within the workplace, empowered by freedom of speech and investors' concern, it is also debatable that governmental reformation cannot purely be symbolic. As much as investors care about the risk from such disputes, their ultimate focus is on cash flow stability and return on capital. Therefore, any changes made or responses to the disputes by businesses must include a more financial outlook. Reform measures like labor agreements and structured negotiations can reduce uncertainty, which in turn will lower risk and strengthen valuation multiples.

This is an important discussion that must take place at this point in time, as union debates have entered the boardroom (Aliaj and Temple-West, 2024). Hoffman's (2023) perception of Starbucks as a company that is highly attentive to brand ownership and investor relations sends a signal that Starbucks will act fast and must do so in a manner that looks more strategic and less reactive.

Why Defensive Resistance Is Financially Short-Sighted?

The case presented by Hoffman (2023) strongly highlights that Starbucks' leadership believed that its existing benefits model, comprising compensation distribution, healthcare, and education, irrespective of part-time or full-time schedule, eliminates the need for a union. However, the company's confidence in its culture seems to be slowly diminishing and taking the form of a legal battle or strike within the board of directors and the workers.

Many executives argue that agreeing to union demands will result in increased labor costs and decreased margins. While I believe that is in line with the managerial focus on short-term profit maximization, the overall duty to maximize shareholder value is often heavily weighted toward the long-term value of the firm, and this is where the argument put forward by executives does not hold. Resisting unionization might save the company from short-term expenses, but if this escalates, the company will be looking at much larger damage that will hinder its long-term growth potential.

Meyer (2024a) highlights that Starbucks has boosted parental leave benefits while facing union-organizing pressure. This is a great outcome, signalling that the company is responsive towards employee concerns and is willing to make appropriate changes to its policies. This also raises a question of whether this is a temporary defensive strategy that Starbucks is implementing to slow down union expansion. A better strategy for Starbucks would be implementing a tradeoff matrix, which takes into account the financial implications of dealing with unionization outcomes and projects it through a long-term value generation lens. After all, predictability is very valuable in capital markets.

A Structured Path Forward

Starbucks has already shown its acknowledgement of unionization within its organization. A more strategic approach forward is through implementing a tiered engagement strategy that incorporates financial transparency and operational modeling. This is impossible without the management's recognition of union movements as an unavoidable reality rather than a short-term disruption. A proper recognition early on, using social media as a platform or news channels that are in support of the business, can mean a lot when it comes to mitigating exaggerated media narratives.

Followed by a closer look at financials, implementing something like a Payment in Lieu of Taxes (PILOT) agreement in selected markets would allow Starbucks to successfully model business expansion amidst strategic changes. A pilot agreement is a legally binding contract that allows businesses to make annual payments to the local government instead of paying a higher property tax. By using such an agreement, the company reduces its tax burden, increases focus on economic development, as well as predictability of operating costs. While these agreements are more famous in the real estate business, if Starbucks had a choice in implementing these into its business contracts, they would surely be a huge support in wage adjustments, payroll minimums, and scheduling changes. All of these reforms hint towards the company's data-driven management systems, as Hoffman (2023) emphasizes.

Another important change is the incorporation of labor strategy into communications with the investors. Rather than avoiding addressing the issues in the workforce early on and waiting until a disruption hits, the management should take a more proactive approach in addressing unionization issues during earnings calls and present the BODs with a clear risk management framework. This reassures the more powerful shareholders that employee relations are being handled seriously and hence fosters positive investment relations with the company.

At every stage of this tiered engagement strategy, one thing that Starbucks cannot afford to get wrong is the timing. While immediate reform proposals under strike pressure might look more reactive, a more structured and well-timed engagement strategy will signal the company's control over the situation rather than pure submission.

Limitations and Tradeoffs

I would like to highlight a very important point presented by Hoffman (2023): not all employees support unionization. There is a clear internal division among workers at Starbucks; a wider segment of the employees does not want any involvement with paying union dues, and many want to fight their own battle, preferring to negotiate wages individually, and some just don't trust the union leadership to secure their jobs. While Starbucks navigates these divisions carefully, it is important to ensure that a strategy does not alienate the non-union workers or respective stores.

Although more phased engagement sounds like the way to go, it goes without saying that no strategy is capable of eliminating the risk entirely. Even under this approach, the business is very likely to reach disagreements within the executive bodies, leading to potential issues such as principal agent problem.

Finally, macroeconomic conditions also play a huge role in shaping bargaining powers. In a tight labor market, unions have more leverage, employees can have raised expectations, and their ideas/voices are louder. However, in markets like today, where layoffs and employment cuts are more common, people fear not having a consistent source of income, and management may have a better negotiating strength. Alongside choosing a strategy, Starbucks must also prepare adjustable frameworks to easily incorporate economic cycles.

Broader Corporate Finance Implications

Meyer (2024c) highlights how labor considerations affect large-scale mergers, and labor risks can influence strategy changes across industries. The case of Starbucks is a clear narrative of workforce governance as a financial lever. Labor disputes undermine numerous intangible assets of a firm, for example, brand reputation, employee morale, and stakeholder trust. While these assets are really not quantifiable or numeric, labor dissatisfaction has a way to manipulate the narration on these and directly impact firm value. The Starbucks brand is dependent largely on its partnership and narration; hence, to preserve this brand value, they must find a way to align traditional metrics with stakeholder expectations.

Conclusion

The case expands beyond Starbucks or its stakeholders. This is a reference point for all service-based businesses like Chipotle, Walmart, and Amazon. The "Unexpected Revival" of trade unions (Bushey & Rogers, 2023) suggests that the labor market has now reached its tipping point, where workers in these sectors are no longer accepting a role as "temporary" or "disposable". This implies a much-needed shift from the management of human capital as HR duties to a core component of corporate strategy and ESG reporting. Strikes (Meyer, 2024b), public criticism (Sainato, 2022), shareholder scrutiny (Aliaj & Temple-West, 2024), and national labor resurgence (Bushey & Rogers, 2023; The Economist, 2022) all point in the same direction, proving that human capital is a financial risk.

Moving towards an employee and management-led partnership model is not just an important ethical change that companies must address today, but it's more of a fiduciary duty necessary in preserving the terminal value of the brand. Hence, by having a proper strategy Starbucks will incur immediate labor costs but in the long term achieve operational stability, reduced turnover, investors' trust, and brand value restoration.

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